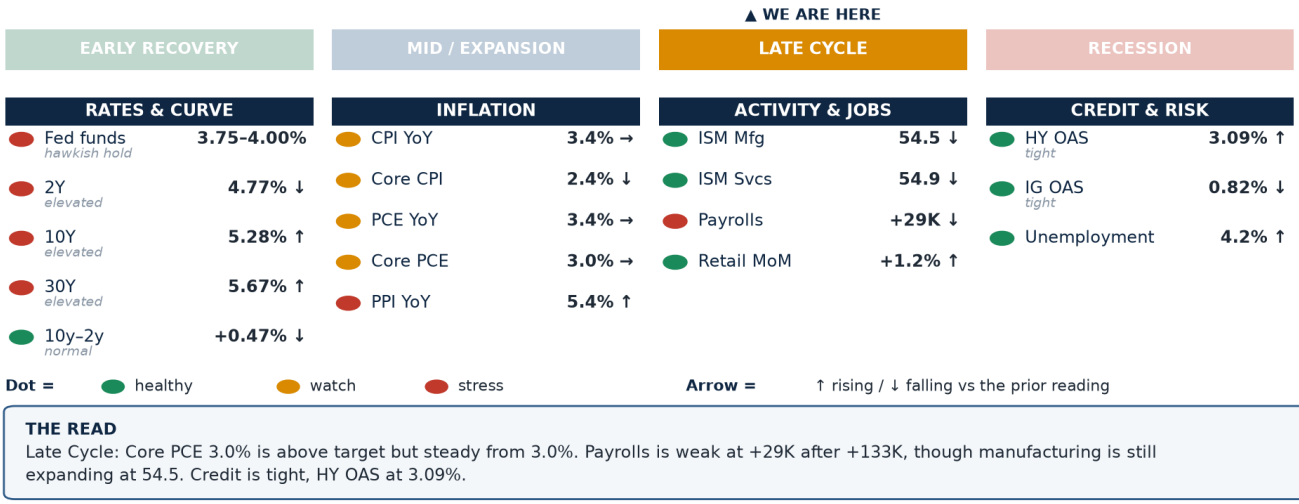
Macro Rotation Strategy

Report ran on Friday, October 09, 2026

AI Driven Financial Research

MACRO CYCLE DASHBOARD



STRATEGY VIEW

The dashboard reads Late Cycle. Rates and curve flash stress with the 10 year at 5.28% and the 30 year at 5.67% while the 2 year eases. Inflation is on watch with PPI at 5.4% and a hotter headline CPI forecast. Activity holds up with both ISM surveys near 55, but payrolls of just +29K signal a cooling labor market, and credit is still contained with HY OAS at 3.09% though drifting wider. We lean with that read: own the front end and short long duration, favor energy, industrials, financials, gold, copper and inflation protection, and stay underweight the rate-sensitive housing, utility and consumer discretionary groups along with high yield credit.

CURRENT THEMES

Long End Bond Selloff

Favor the front end and financials over long duration and housing until the Fed signals a cut.
Favorites: **SHY**, iShares 1-3 Year Treasury Bond ETF; **XLF**, State Street Financial Select Sector SPDR ETF
Adverse: **TLT**, iShares 20+ Year Treasury Bond ETF; **ITB**, iShares U.S. Home Construction ETF; **XLU**, State Street Utilities Select Sector SPDR ETF; **XLRE**, State Street Real Estate Select Sector SPDR ETF

Energy Supply Inflation

Favor energy and inflation protection while fuel costs squeeze the discretionary consumer.
Favorites: **XLE**, State Street Energy Select Sector SPDR ETF; **TIP**, iShares TIPS Bond ETF; **GLD**, SPDR Gold Shares
Adverse: **XLY**, State Street Consumer Discretionary Select Sector SPDR ETF

Late Cycle Labor Cooling

Lean toward quality, gold and short duration, and avoid high yield credit and consumer-led cyclicals.
Favorites: **GLD**, SPDR Gold Shares; **SHY**, iShares 1-3 Year Treasury Bond ETF
Adverse: **HYG**, iShares iBoxx $ High Yield Corporate Bond ETF; **XLY**, State Street Consumer Discretionary Select Sector SPDR ETF

NEW ENTRIES

State Street Financial Select Sector SPDR ETF | XLF [LONG] @ $54.73 | Conviction: MEDIUM

The dashboard tilt favors financials in a late cycle with long yields at multi-decade highs and a falling 2 year, which widens the gap between funding costs and long lending rates. ISM surveys near 55 and HY OAS still near 3% keep loan loss risk contained for now, but weak payrolls cap conviction at medium.



EXITS

XLE **+18.2%**

held 91 days, past the 90-day limit [LONG]

CURRENT HOLDINGS

Ticker	Name	Side	Conviction	Entry Date	Entry $	Current $	Return
XLY	State Street Consumer Discretionary Select ...	SHORT	MEDIUM	10/02/26	$110.04	$112.85	-2.5%
SHY	iShares 1-3 Year Treasury Bond ETF	LONG	MEDIUM	10/02/26	$81.05	$81.20	+0.2%
XLI	State Street Industrial Select Sector SPDR E...	LONG	MEDIUM	09/25/26	$170.43	$169.25	-0.7%
ITB	iShares U.S. Home Construction ETF	SHORT	HIGH	09/18/26	$87.41	$84.76	+3.0%
CPER	United States Copper Index Fund	LONG	HIGH	08/28/26	$39.67	$40.31	+1.6%
TIP	iShares TIPS Bond ETF	LONG	MEDIUM	08/28/26	$106.94	$104.42	-2.4%
HYG	iShares iBoxx $ High Yield Corporate Bond ...	SHORT	MEDIUM	08/22/26	$79.61	$77.23	+3.0%
TLT	iShares 20+ Year Treasury Bond ETF	SHORT	HIGH	08/22/26	$82.05	$77.98	+5.0%
XLU	State Street Utilities Select Sector SPDR ETF	SHORT	MEDIUM	08/22/26	$42.77	$41.41	+3.2%
GLD	SPDR Gold Shares	LONG	HIGH	08/02/26	$371.54	$384.58	+3.5%

10 open positions · Unrealised on $1,000 per trade: +$138.70 · Average return: +1.39%

Notional: every position sized at $1,000 at entry, regardless of actual weight. For comparison between strategies only.

Paper portfolio - no real money. For research only.